Shrinithi Capital Private Limited

October 12, 2026

Facilities/Instruments	Name of the Regulator[1]	Amount (₹ crore)	Rating[2]	Rating Action
Bank facilities – Fund-based – Long term	NA	-	-	Reaffirmed at CARE BB+; Stable and Withdrawn

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has reaffirmed and withdrawn outstanding ratings of 'CARE BB+; Stable' (Double B Plus; Outlook: Stable) assigned to bank facilities of Shrinithi Capital Private Limited (SCPL) with immediate effect. This action has been taken at the request of SCPL and 'No Objection Certificate' has been received from the bank that has extended the facilities rated by CareEdge Ratings.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Improvement in scale of operations while maintaining good asset quality, profitability, and comfortable capitalisation levels with significant infusion of equity.
- Improvement in liability profile.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Moderation of asset quality with gross non-performing assets (GNPA) exceeding 5% and above on a sustained basis.
- Gearing exceeding 5x for an extended period.

Analytical approach: Standalone

Outlook: Stable

CareEdge Ratings believes that the entity shall maintain its moderate financial risk profile over the medium term.

Detailed description of key rating drivers

Key weaknesses

Limited track record of operations

SCPL was incorporated in FY19 and has been operational since FY20 following receipt of its non-banking finance company (NBFC) licence from the Reserve Bank of India, has scaled up its operations steadily, with assets under management (AUM) increasing from ₹154 crore in FY23 to ₹459 crore in FY26. While a significant part of this growth has been achieved in recent years, the portfolio remains relatively young. The company's AUM remained largely stable at ₹458 crore as on June 30, 2026.

Moderate scale of operation with geographical concentration of loan portfolio

SCPL primarily provides commercial vehicle (CV) and two-wheeler loans with ticket sizes ranging from ₹2 lakh to ₹15 lakh, repayment tenors of 24-60 months, and lending rates in the range of 22%-24%. As on June 30, 2026, CV loans constituted 96% of the company's AUM, while two-wheeler loans and working capital loans accounted for 2% each. The company has exited its microfinance business, with the portfolio being fully wound down as on June 30, 2026.

The company undertakes lending through both its own book and co-lending arrangements with partner institutions. As on March 31, 2026, co-lending exposures accounted for ~73% of the AUM, compared to 77% a year earlier, with growth in FY26 primarily driven by the expansion of the on-book portfolio. As on June 30, 2026, co-lending exposures represented ~76% of the AUM. In Q1FY27, growth was largely supported by co-lending partnerships, while the on-book portfolio witnessed a moderation. The company recently expanded its co-lending network through partnerships with Vastu Finserve India Private Limited and Suryoday Small Finance Bank.

[1]SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

[2]Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

SCPL's operations are geographically concentrated in Tamil Nadu, with a network of 54 branches across the state as on March 31, 2026. This single-state concentration exposes the company to risks arising from socio-economic and political developments within the region. CareEdge Ratings anticipates that this high regional concentration will persist over the medium term, given the current scale of operations.

Moderate asset quality

Asset quality weakened in FY26, with GNPA increasing to 5.43% as on March 31, 2026, from 5.17% as on March 31, 2025. Management attributed the deterioration to the transfer of accounts from the co-lending portfolio to the company's own book and relatively modest portfolio growth during the period, resulting in a denominator effect. Asset quality indicators remained moderate in Q1FY27, with GNPA, and NNPA standing at 5.06%, and 4.89%, respectively, as on June 30, 2026. In response, SCPL has tightened its underwriting standards and discontinued new vehicle funding. The company has strengthened its recovery efforts through a dedicated collection team of 15 personnel and aims to reduce its own-book GNPA to below 4% by December 2026 through focused collection measures. The company's ability to maintain asset quality under this revised credit framework remains a key monitorable.

Moderate capitalisation levels

SCPL has received cumulative equity support of ₹47 crore from its promoters since inception, including an infusion of ₹11.50 crore by Navyug Global Ventures and Galaxy Hunters Pte. Ltd. in FY24. Supported by internal accruals, the company's tangible net worth (TNW) increased to ₹61.66 crore as on March 31, 2026, from ₹55.13 crore as on March 31, 2025, and further improved to ₹70.95 crore as on June 30, 2026.

The company's capital profile improved during the period, with gearing improving to 1.38x as on March 31, 2026, from 1.83x a year earlier. In addition to its on-book lending operations, SCPL maintains co-lending partnerships with five financial institutions, including the recently added partnerships with Suryoday Small Finance Bank and Vastu Finserv. The AUM-to-TNW ratio moderated to 7.44x as on March 31, 2026, from 8.12x in the previous year, and further improved to 6.46x as on June 30, 2026.

CareEdge Ratings notes that the company plans to raise an additional ₹75 crore of capital from existing and new investors in FY27, which is expected to support future growth and strengthen its capital position.

Concentrated resource profile

SCPL's funding profile comprises a mix of unsecured and secured borrowings from corporates and financial institutions. As on March 31, 2026, unsecured loans from corporates accounted for ~70% of total borrowings, followed by borrowings from NBFCs and subordinated debt at 12% each, compared to 44%, 8% and 8%, respectively, as on March 31, 2025. Bank term loans represented ~8% of total borrowings as on March 31, 2026.

As on June 30, 2026, unsecured corporate borrowings constituted 66% of total borrowings, while borrowings from NBFCs, banks, subordinated debt and non-convertible debentures (NCDs) accounted for ~7%, 6%, 11%, and 10%, respectively, reflecting a broader funding mix.

Going forward, SCPL's ability to diversify its funding base and raise capital at competitive interest rates will be critical to supporting its growth trajectory and sustaining profitability.

Key strengths

Experienced management

SCPL is promoted by S Sellamani, having over 25 years of experience in vehicle finance industry, and has worked at various capacities in large vehicle finance companies. The promoter is supported by an Independent Director, Ramanathan who has vast experience of ~25 years in CV finance industry.

Stable profitability levels

SCPL reported a profit after tax (PAT) of ₹6.40 crore on a total income of ₹52.57 crore in FY26, compared to a PAT of ₹10.19 crore on a total income of ₹61.33 crore in FY25. Profitability during the year was impacted by lower portfolio yields following the exit from the microfinance business and higher credit costs. Operating expenses remained elevated at 12.59% of average assets, reflecting the company's relatively early stage of operations. Credit costs increased to 5.64% in FY26 from 2.24% in FY25 due to

higher write-offs. Consequently, return on total assets (ROTA) moderated to 3.45% in FY26 from 5.44% in FY25. Accordingly, return on managed assets (ROMA) declined to 1.31% in FY26 from 2.34% in FY25.

Liquidity: Adequate

SCPL maintained cash and cash equivalents of ₹11.68 crore as on March 31, 2026, which moderated to ₹4.98 crore as on June 30, 2026. The company's liquidity profile is supported by the tenor alignment between its loan portfolio and borrowings, with most assets and NBFC borrowings carrying maturities of two to three years, while NCDs and subordinated debt have relatively longer tenors.

Applicable criteria

Definition of Default
Rating Outlook and Rating Watch
Financial Ratios - Financial Sector
Withdrawal Policy
Non-Banking Financial Companies

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Non-banking financial company (NBFC)

SCPL was incorporated in 2019 and obtained its NBFC license in 2020. The company is promoted by S Sellamani, CEO, who has over 25 years of experience in the vehicle finance business. The promoter is supported by K Monish, CFO, and an independent director who has vast experience in the finance industry. SCPL is primarily engaged in financing CVs, passenger vehicles (PVs), and two-wheelers with ticket size range of ₹2 lakh to ₹15 lakh. The average interest rate is ~22-24% and the tenor of the loan ranges between 24 and 60 months. The company operates through 54 branches across Tamil Nadu. The company has AUM of ₹458.16 crore as on June 30, 2026 (₹447.92 crore as on March 31, 2025). The company also disburses through co-lending partnership. Off book comprises 76% of AUM as on June 30, 2026.

Brief Financials (₹ crore)	FY25	FY26	Q1FY27
Standalone	A	A	UA
Total income	61.33	52.57	12.86
Profit after tax (PAT)	10.19	6.40	5.37
Assets under management (AUM)	447.92	458.63	458.16
On-book gearing (x)	1.83	1.38	1.06
AUM / tangible net worth (TNW) (x)	8.12	7.44	6.46
Gross non-performing assets (NPA) (%)	5.17	5.43	5.06
Return on managed assets (ROMA) (%)	2.34	1.31	2.20*
Capital adequacy ratio (CAR) (%)	30.10	47.80	38.99

*Annualised

A: Audited; UA: Unaudited; Note: These are latest available financial results

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:
A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based-Long Term	NA	-	-	-	-	-	0.00	Withdrawn

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based-Long Term	LT	-	-	1)CARE BB+; Stable (12-Oct-26)	1)CARE BB+; Stable (31-Jul-25)	1)CARE BB+; Stable (26-Jun-24)	-

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please click here

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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